You basically get to decide if a company or fund meets your ethical standards, and you choose if you want to engage with them or not.

I need to stress that ethical investing is going to look different for different people. Someone may look at Tesla and invest in the company because they love the electric car movement and reducing dependence on oil, whereas another person may denounce Tesla's CEO for his beliefs or actions. Both investors are correct, because with ethical investing it is purely a personal decision.

It's putting your money where your mouth is, and only sharing your hard-earned money with the things that matter to you. Again, it's about doing whatever helps you sleep easier at night.

Socially responsible investing (SRI)

Socially responsible investing or SRI is very similar to ethical investing, but it goes one step further and focuses on investing in sustainable business practices. You get to choose or remove investments if you believe they do or don't adhere to sustainability guidelines. For example, you may choose to not invest in Nestlé as you don't believe in one company having a monopoly on an industry — that's an ethical choice. Someone else may not invest in Nestlé due to their past use of palm oil and its destruction of rainforests (which they stopped in 2021) — that is a sustainable choice.

An example of SRI investing is Environmental, Social and Governance (ESG) investing. This means companies you invest in focus on:

- **environmental issues,** such as climate change, water usage and pollution
- **social issues** surrounding health, safety and the treatment of employees
- **governance issues** surrounding management practices, business ethics or appropriate pay.